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COLUMN - Higher housing and rents in the state's future?

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Like others, I've been watching our state cope with a combination of forces that I believe could ultimately lead to higher housing and rental costs, driving more people into homelessness as well as higher food prices.

Let's consider a series of separate but related events for a moment:

First, insurance companies have paid out $4.2 billion in claims so far to survivors of the Los Angeles County fires, according to the state Insurance Department. That figure includes home, business, living expenses and other disaster-related claims related to the Eaton and Palisades fires. Affected property owners have filed 31,210 claims.

The Eaton fire in the Pasadena area killed 17 people and destroyed more than 9,400 structures, and the Palisades fire in the Pacific Palisades killed 12 people and destroyed more than 6,800 structures. And those numbers continue to grow. The early estimate of the total damage is more than $250 billion, according to AccuWeather.

Second, as a result the state is providing billions of dollars to help homeowners recover what they lost, which could mean higher wages for those available to do the rebuilding. California's Legislature recently passed a set of bills to expedite $2.5 billion in "bridge funding" intended to help state and local agencies respond to relief efforts

The bills are part of "a much larger conversation that we're going to need to have about recovery and rebuilding in these devastated communities, and also about how we protect communities across the state of California," said Jesse Gabriel, chair of the Assembly's budget committee and one of a few lawmakers who live in neighborhoods that were under evacuated. "This is the first of many steps that we will take on a long journey as we progress through this conversation."

Third, people affected by the fires are going to want to rebuild those structures as fast as they can. That will mean an unprecedented demand for construction workers.

Fourth, many of those workers are immigrants — both legal and illegal. Exact numbers are not available, but it's estimated many in the construction industry are immigrants. But with the Trump administration deporting immigrants, there may be fewer of those workers available to do that building.

And none of these events take into account another major natural disaster, whether it be a fire or earthquake, which given the amount of time needed for rebuilding could occur.

Let's put these pieces together.

As I see it, the rebuilding in Southern California will suck up available workers from across the state. But with fewer workers to begin with there won't be that many remaining to either build homes or work on farms elsewhere.

Already there is anecdotal information that a number of farm laborers are not working for fear of being deported, although there are no specific numbers available.

Additionally, those workers who get jobs in rebuilding those lost homes will also need places to live while they do their jobs and with fewer low-cost apartments available already, rents could also begin climbing.

The combination of all these events could mean a housing construction slowdown in places such as Woodland and

Yolo County as well as a loss of farm laborers. And those construction workers will demand higher wages to match what is being paid in Southern California.

Ultimately, this could mean an increase in prices for new single-family homes and rents for apartments along with higher food prices. California has already seen a surge in homelessness due to high housing costs. Further price increases for homes and apartments could only force more people onto the streets with everyone else paying more for their food.

Jim Smith is the former editor of The Daily Democrat, retiring in 2021 after a 27-year career at the paper.

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